

WELCOME TO THEORY OF FIRMS

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FIRMS:

- Firm is a commercial organization which is engaged in producing any kind of good or service for example business, company, corporation, enterprise, proprietorship etc.
- **Firm is the base of production.**
- Firms are viewed as **the unit of management rather than unit of production** according to Modern Business Administration.

PRICE CEILING:

❑ **A Price Ceiling is a legally mandated maximum Price.**

- **Price ceilings prevent a price from rising above a certain level.**
- When a price ceiling is set below the equilibrium price, quantity demanded will exceed quantity supplied, and excess demand or shortages will result.

Price Ceiling Example-

- Rent Control
- Regulated Gasoline price
- Interest Rate
- Animal Skin price

Price ceiling graph:

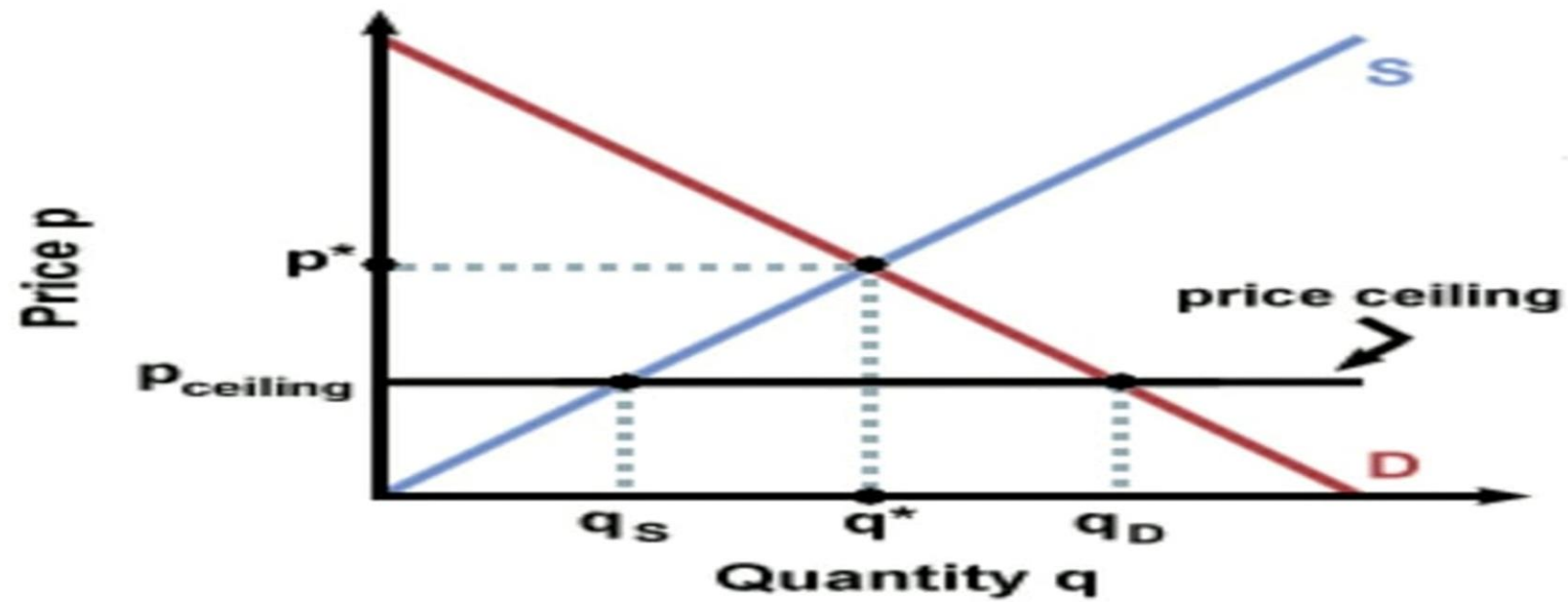
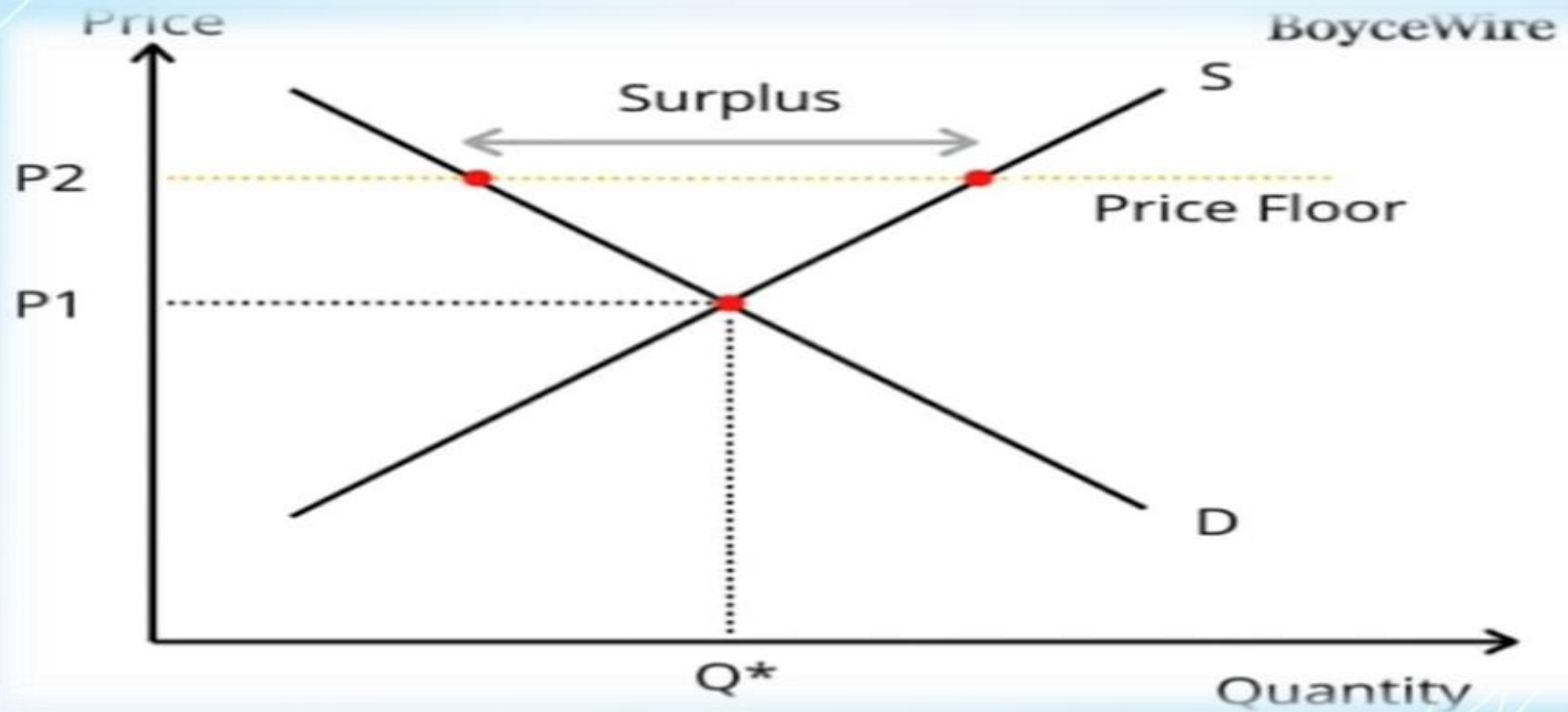


Figure: Price Ceiling

PRICE FLOOR :

- ✓ **A Price Floor is legally mandated minimum price.**
- ✓ A price floor is a minimum price that is set on a good or service, usually imposed by the government.
- ✓ A price floor is most effective when is it placed above the equilibrium point as this would force prices to increase from the existing equilibrium to the desire price.

Price Floor Graph:



PRICE FLOOR EXAMPLE-

- An example of a price floor is **minimum wage laws**, where the government sets out the minimum hourly rate that can be paid for labor.
- Agricultural price supports** is also an example of price floor.

THREE PRODUCTION CONCEPT

The following three production concept are very familiar in the production theory of economics:-

Number one (1) : Total production (**TP**)

Number two (2) : Average product (**AP**)

Number three (3) : Marginal product (**MP**)

LAW OF DIMINISHING MARGINAL RETURN:-

David Ricardo (1772-1823)



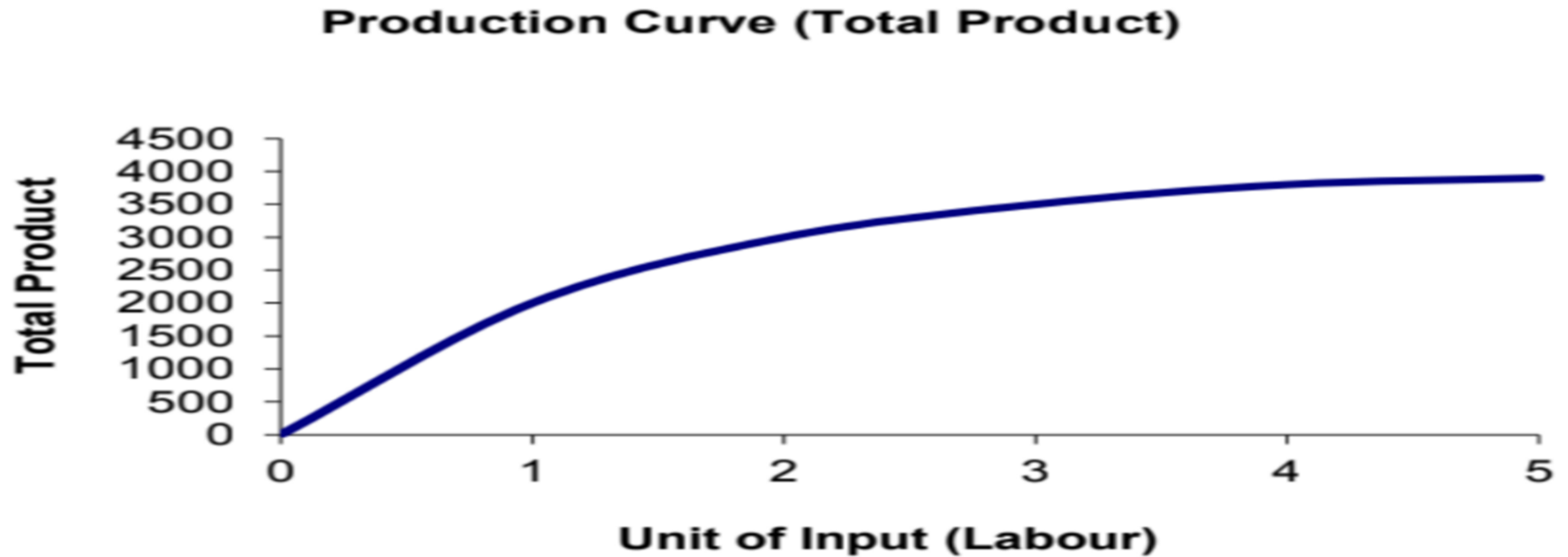
Theory:

The more input (L, K) is added into production total production increases ($TP \uparrow$) but marginal production decreases ($MP \downarrow$).

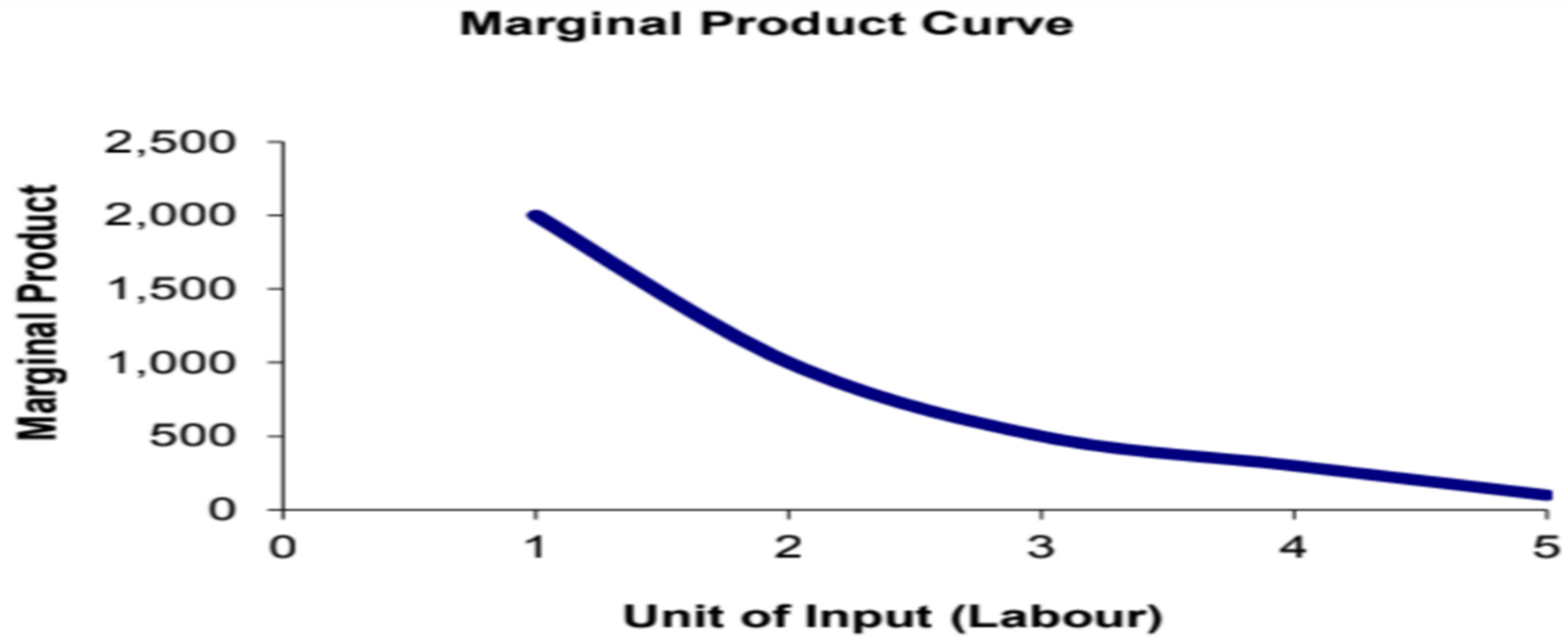
Table of Law of Diminishing Marginal Return:

Unit of labour	Total Production	Marginal Production	Average Production
0	0	-----	-----
1	2500	2500	2500
2	3500	1000	1750
3	4400	900	1467
4	5200	800	1300
5	5500	300	1100

PRODUCTION CURVE:

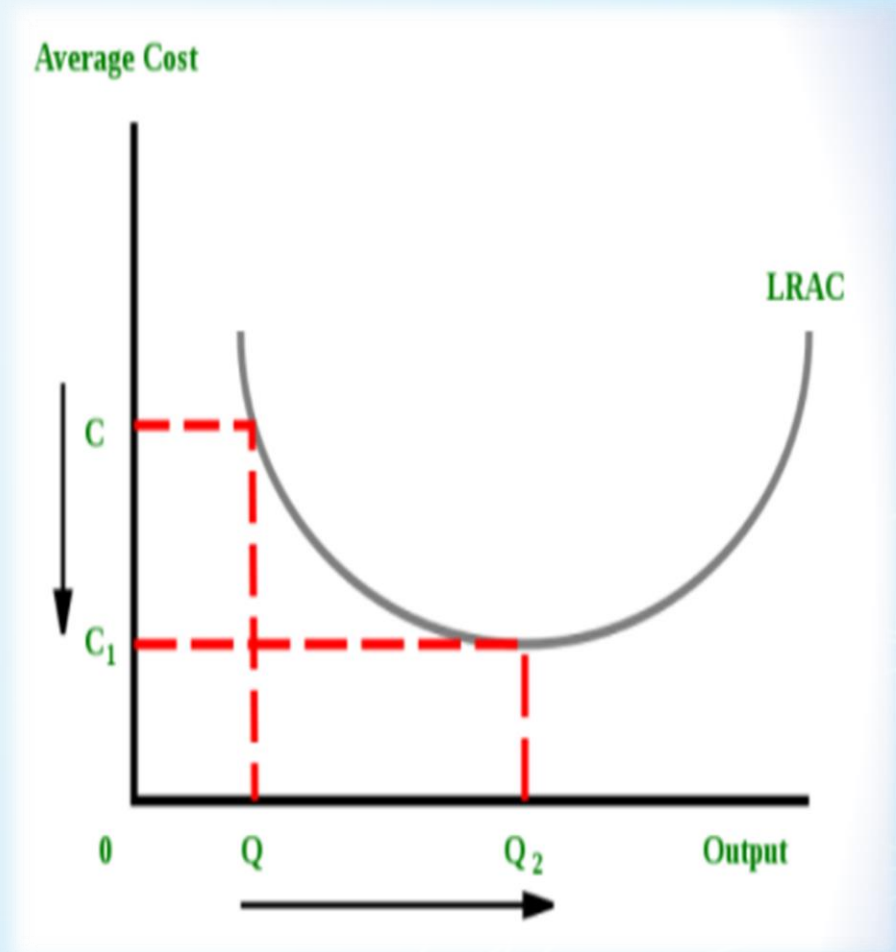


MARGINAL PRODUCT CURVE:



ECONOMIES OF SCALE:

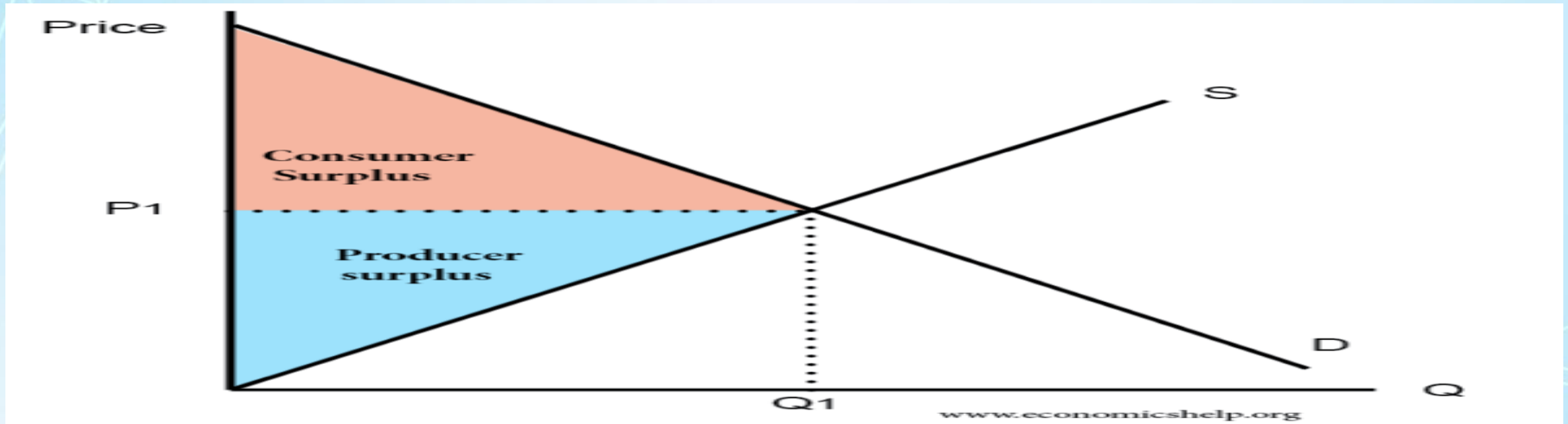
- Economy of scale (ES) describes- 'as the volume of production increases , the cost of producing each unit decreases.
- It means when we produce in a **large scale**, our **per unit production cost or average cost** decreases.



Consumer and Producer Surplus

Consumer Surplus

In mainstream economics, consumer surplus is the difference between the highest price a consumer is willing to pay and the actual price they do pay for the good (which is the market price of the good). In other words, consumer surplus is the difference between what a consumer is willing to pay and what they actually pay for a good or service.



Producer Surplus

The producer surplus is the difference between the actual price of a good or service—the market price—and the lowest price a producer would be willing to accept for a good.

Cost Analysis

Nominal cost: Nominal cost is the money cost of production (expense of production).

Real/Opportunity cost: Real/opportunity cost of production of a given commodity is the next best alternative sacrificed in order to obtain that commodity.

Implicit costs: Implicit costs are costs of self-owned and self-employed resources, such as salary of the proprietor or return to the entrepreneur's own investment. These costs are frequently ignored in calculating the expenses of production.

Explicit Costs: Explicit costs are the paid-out costs.

Fixed costs: Fixed costs, like cost of land, machineries and equipment, building etc. remain fixed for a short period. But, in the long-run, nothing remain fixed. Staff would change, capital investment would be different, size of the factory too may change, and so on.

Variable costs: Variable costs vary with casual or daily labor etc. In the long-run, all costs become variable costs.

$$\text{Total Cost} = \text{Fixed Cost} + \text{Variable Cost}$$

Total cost: Total cost is the sum total of total fixed cost and total variable cost.

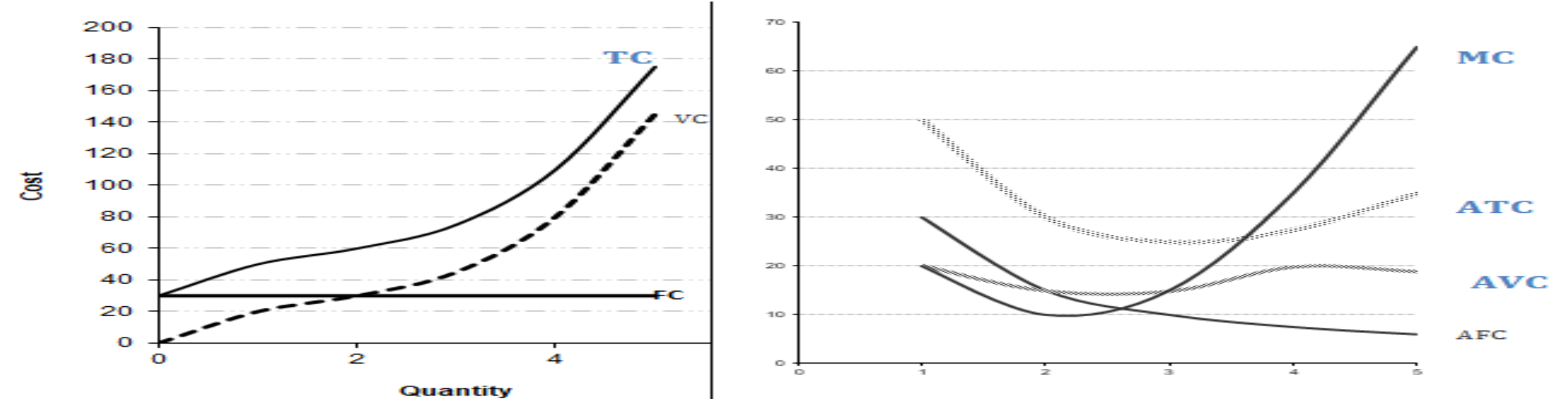
Average cost: Average cost per unit is the total cost divided by the number of units produced.

Marginal cost: Marginal cost is the addition to total cost caused by a small (one unit) increment in output.

For better understanding of the above cost concepts the following mathematical and graphical examples can be taken to the task:

Quantity of Output	Total Fixed Cost	Total Variable Cost	Total Cost		Average Fixed Cost	Average Variable Cost	Average Total Cost	Marginal Cost
0	30	0	30					
1	30	20	50		30	20	50	20
2	30	30	60		15	15	30	10
3	30	45	75		10	15	25	15
4	30	80	110		7.5	20	27.5	35
5	30	145	175		6	29	35	65

The above cost table can be represented graphically as follows:



THEORY OF FIRMS



THANK YOU



Any Questions?